

Capitalism and Democracy in Twentieth-Century Europe

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This course introduces students to the study of democratic capitalism by examining the relationship between capitalism and democracy in Europe over the twentieth century. In what ways are capitalism and democracy threats to one another, and in what ways are they complements? We will study competing answers to this question and assess their plausibility in light of changing economic conditions over the twentieth century. Along the way, students will develop an understanding of central topics in comparative and international political economy including monetary policy and exchange rate regimes; democratization and democratic reversals; political responses to economic crises; unions and wage bargaining; taxation and capital mobility; the welfare state; and European integration.

Students will leave the course with a grasp of the main currents of the political and economic history of western Europe over the twentieth century and a command of key debates in political economy. Students will also learn to assess competing interpretations against the evidence and to formulate and defend claims of their own. Though the course is focused on western Europe, the debates covered here may inform students' perspectives on politics in the United States and elsewhere in the world.

Requirements:

Weekly reading: Students are expected to complete the week's readings before the first lecture of the week. The assigned material amounts to 70–90 pages per week, involving excerpts from longer scholarly works.

Short paper 1 (Week 6): Choose Week 3, Week 4, or Week 5; write a paper that identifies one or several points of disagreement between the readings assigned for that week and state which view you find most plausible and why. Further research is allowed but not required for a strong essay. Be sure to address counterarguments. 5 pages, double-spaced. 25% of your grade, based on the written paper and a meeting with me following its submission. More detailed guidelines circulated separately.

Short paper 2 (Week 11): Choose Week 8, Week 9, or Week 10; write a paper that identifies one or several points of disagreement between the readings assigned for that week and state which view you find most plausible and why. Further research is allowed but not required for a strong essay. Be sure to address counterarguments. 5 pages, double-spaced. 25% of your grade, based on the written paper and a meeting with me following its submission. More detailed guidelines circulated separately.

In-class final exam: multiple choice, short answer, and essay. 35% of course grade.

Participation: active participation in class based on substantive engagement with the readings is expected and is worth 15% of your course grade. In this course, we will uphold the

university's code of conduct and values regarding open intellectual inquiry and equal respect for all class members.

Prerequisites: One prior course in the political science department.

Electronic devices: Laptops are permitted for note-taking and for referring to course readings. Please be conscious of the fact that browsing the internet during class is distracting for the students sitting around you. If you plan to browse the internet during class time, expect to be called upon!

Plagiarism: Plagiarism is a serious breach of the University's code of conduct. It is assumed that you have carefully reviewed the University's policy on plagiarism. Your use of AI must adhere to the university's policy. Please note that you are unlikely to succeed on the final exam if you have not studied the readings in detail and thought about them yourself. Likewise, you need to be able to display ownership over the ideas expressed in your paper in our one-on-one meeting to receive a high grade. This will be considerably easier if you have written the paper yourself.

Accessibility: The University is committed to equal access for students with disabilities. Students with disabilities who have been approved to receive academic accommodations by the University must contact me as soon as possible so that the relevant accommodations can be made.

Week 1: Theoretical perspectives (2 lectures). Can a capitalist economy function properly if workers can use the political process to redistribute income? Is it possible for a society to be genuinely democratic without leveling the inequalities generated under capitalism? Or do democratic elections actually create incentives for politicians to ensure that capitalism delivers both growth and equality?

Hayek, Friedrich. *The Road to Serfdom*. Chicago: University of Chicago Press, 2007 [1944] (selections).

Luxemburg, Rosa. *Reform or Revolution?* In *The Essential Rosa Luxemburg*, ed. Helen Scott. Chicago: Haymarket, 2007 (selections).

Iversen, Torben, and David Soskice. *Democracy and Prosperity: Reinventing Capitalism through a Turbulent Century*. Princeton: Princeton University Press, 2019 (selections).

Week 2: Capitalism before the First World War (2 lectures). What did capitalism look like before the First World War and what role did the gold standard play in it? To what extent did the functioning of the globally integrated system depend on the exclusion of workers from political influence?

Sassoon, Donald. *The Anxious Triumph: A Global History of Capitalism, 1860-1914*. London: Penguin, 2021 (selections).

Eichengreen, Barry. *Globalizing Capital: A History of the International Monetary System*. 3rd ed. Princeton: Princeton University Press, 2019 (selections).

Week 3: The politics of partial democratization (2 lectures). Did the introduction of mass suffrage in the late nineteenth and early twentieth centuries introduce genuine democratic accountability? Why wasn't the extension of the franchise followed by the expropriation of economic elites – because ordinary voters did not want it or because institutions prevented radical demands from being translated into policy?

Art, David. *The Resilience of the Old Regime: Paths Around Democracy in Europe, 1832–1919*. Cambridge: Cambridge University Press, 2026 (selections).

Ziblatt, Daniel. *Conservative Parties and the Birth of Democracy*. Cambridge: Cambridge University Press, 2017 (selections).

Week 4: Revolutionary threats and interwar stabilization (2 lectures). Why did the First World War prompt further democratization and raise the specter of Communist revolution? What explains why democracy persisted in some European countries while authoritarianism was imposed in others? Is fascism simply economic elites' last resort when faced with a revolutionary threat, or is fascism itself a threat to these elites?

Mattei, Clara. *The Capital Order: How Economists Invented Austerity and Paved the Way to Fascism*. Chicago: University of Chicago Press, 2022 (selections).

Luebbert, Gregory. *Liberalism, Fascism, or Social Democracy: Social Classes and the Political Origins of Regimes in Interwar Europe*. New York: Oxford University Press, 1991 (selections).

Week 5: Depression and responses (2 lectures). What caused the Great Depression and why did some countries respond to the Depression with austerity while others pursued expansionary measures? Was the abandonment of the gold standard an appropriate response to economic crisis or a step toward economic autarchy and war?

Eichengreen, Barry. *Golden Fetters: The Gold Standard and the Great Depression, 1919–1939*. New York: Oxford University Press, 1996 (selections).

Berman, Sheri. *The Social Democratic Moment: Ideas and Politics in the Making of Interwar Europe*. Cambridge, MA: Harvard University Press, 1998 (selections).

Week 6: Postwar capitalism: transformation or restoration (2 lectures). In what sense did the conclusion of the Second World War usher in a new age of democratic capitalism? Did the Europe of the 1950s match the radical promises of the immediate postwar moment or did it more closely resemble the prewar status quo?

Milward, Alan. *The Reconstruction of Western Europe, 1945–51*. Berkeley: University of California Press, 1984 (selections).

Miliband, Ralph. *Parliamentary Socialism: A Study in the Politics of Labour*. London: Allen & Unwin, 1961 (selections).

Week 7: Social democratic reformism (2 lectures). How did parties of the left evolve in the decades after the Second World War? Did this reflect a betrayal of the radical cause by party leaders, an effort to win over the middle-class median voter, or a response to the changing demands of working-class voters themselves?

Przeworski, Adam. *Capitalism and Social Democracy*. Cambridge: Cambridge University Press, 1985 (selections).

Sassoon, Donald. *One Hundred Years of Socialism: The West European Left in the Twentieth Century*. London: I.B. Tauris, 2010 (selections).

Week 8: The challenge of organized labor (2 lectures). How did full employment empower unions and what were the implications of this newfound power for growth and economic stability? Could industrial conflict be overcome through mutually beneficial corporatist bargains, or was corporatism a way of encouraging growth at workers' expense?

"The Uneasy Triangle," *The Economist* (1952).

Eichengreen, Barry. "Institutions and economic growth: Europe after World War II." In *Economic Growth in Europe Since 1945*, ed. N. Crafts and G. Toniolo, 38-65. Cambridge: Cambridge University Press, 1996.

Panitch, Leo. *Social Democracy and Industrial Militancy: the Labour Party, the Trade Unions and Incomes Policy, 1945-1974*. Cambridge: Cambridge University Press, 1974.

Week 9: European integration (2 lectures). What explains the move toward supranational integration in postwar Europe? Did this reflect a desire for a post-national Europe, an effort by national governments to shore up their own sovereignty, or an effort by political and economic elites to lock in their policy preferences in institutions beyond voters' reach?

Milward, Alan. *The European Rescue of the Nation State*. London: Routledge, 1999 (selections).

Andry, Aurélie Dianara. *Social Europe, the Road Not Taken: The Left and European Integration in the Long 1970s*. New York: Oxford University Press, 2022 (selections).

Week 10: The socialist alternative (2 lectures). To what extent did the socialist economies of central and eastern Europe offer a viable alternative to west European capitalism? How should we assess the relative performance of capitalist and socialist economies? Were there dimensions of social and economic life along which socialist states could reasonably claim to be more 'democratic' than those of the west?

Kopstein, Jeffrey. *The Politics of Economic Decline in East Germany, 1945-1989*. Chapel Hill: University of North Carolina Press, 1996 (selections).

Fulbrook, Mary. *The People's State: East German Society from Hitler to Honecker*. New Haven: Yale University Press, 2008 (selections).

Ghodsee, Kristen. "Why Women Had Better Sex Under Socialism." *New York Times* Aug. 12, 2017.

Week 11: Development of capital mobility (2 lectures). Was the rising international mobility of capital in the 1960s and 1970s an inevitable response to changing technological conditions or was it the result of political choices? How did capital mobility affect European governments' ability to pursue their preferred economic policies? What is the relationship between the increase in capital mobility and the breakdown of the Bretton Woods system?

Simmons, Beth. "The Internationalization of Capital." In *Change and Continuity in Contemporary Capitalism*, ed. Herbert Kitschelt, 36-69. Cambridge: Cambridge University Press, 1999.

Helleiner, Eric. *States and the Reemergence of Global Finance: From Bretton Woods to the 1990s*. Ithaca: Cornell University Press, 1994 (selections).

Week 12: Crisis of Social Democracy (2 lectures). Were the economic problems of the 1970s primarily a consequence of external energy shocks or a result of a longer-term decline in productivity growth, rise in worker militancy, and growth of capital mobility? How did governments try to address high inflation and low growth in the 1970s? Did the radical reforms of the 1980s constrain democratic control over the economy or did they reassert the authority of elected governments over organized interests?

Scharpf, Fritz. *Crisis and Choice in European Social Democracy*. Ithaca: Cornell University Press, 1991 (selections).

Prasad, Monica. *The Politics of Free Markets: The Rise of Neoliberal Economic Policies in Britain, France, Germany, & the United States*. Chicago: University of Chicago Press, 2006 (selections).

Week 13: Decline of national autonomy? (2 lectures). What explains the push for further supranational integration through Europe's Economic and Monetary Union? Was this an inevitable response to new economic realities or a political choice to favor certain interests at the expense of others?

Hall, Peter. *Governing the Economy: The Politics of State Intervention in Britain and France*. New York: Oxford University Press, 1986 (selections).

McNamara, Kathleen. *The Currency of Ideas: Monetary Politics in the European Union*. Ithaca: Cornell University Press, 1998 (selections).